future group chairman, Seth would prefer to respond in silence. Even before his appointment, Seth had disapproved of Ratan's efforts at reforming the group. He was 'against a group approach'. It was more of a cold war between them.

Seth considered himself far too accomplished to be impressed by someone who he thought had nothing much to distinguish himself by except his famous surname. He did not even furnish the report of the Chemical- and Agro-based committee that he was heading for the preparation of the 1983 Strategic Plan. Consequently this area was not 'dealt with' in the plan. After Ratan became the Tata Sons chairman, Seth also found it less necessary to attend even some of the crucial board meetings.

In addition, their contrasting approaches to how the group should function did not help matters. While Ratan worked to transform the group from a loose confederation of companies into a unified powerhouse to achieve synergy, Seth was a 'staunch supporter of an autonomous' approach. He had no objection to working under Ratan's chairmanship, but was unwilling to give up the freedom and autonomy he had enjoyed under JRD. A leading economic daily wrote that he only wanted Ratan to 'perform a largely non-executive role'.

But there were three issues that besmirched his fabled reputation. They appertained to the Karnal and Haldia projects, and his opposition to Ratan's decision to exit the non-core businesses.

The Karnal Setback

On 22 May 1987, Tata Chemicals Limited (TCL) and Indian Oil Corporation (IOC) signed a Memorandum of Understanding (MoU) to establish a JV called Tata–Indian Oil Refineries Limited, located in Karnal, Haryana. IOC and TCL held a 26 per cent stake each in it, while the remaining 48 per cent was held by the public.

Negotiations for the project had begun a year earlier with JRD's blessings. The group saw it as a rare opportunity to wade into a new capital-intensive area like petroleum refining. And what made the proposal more attractive was the government's keenness to partner with the Tatas.

The project, however, ran into rough weather. The high cost of crude oil to be imported for the refinery threatened the project's viability. In addition, the cost of equipment to be imported from the Soviet Union spiked from the original estimate of Rs 1,400 crore to Rs 2,600 crore due to the political